

HR.com's State of Today's HR Technology and Integrations 2025

Harness new technologies to drive HR Innovation



Most organizations still lack fully integrated systems that drive strategy and innovation

Only **36%** say their HR technology systems are at the Advanced (**26%**) or Expert (**10%**) stages of maturity.

About as many (**38%**) are at the Moderately Developed stage, and the rest are at the lowest two stages.



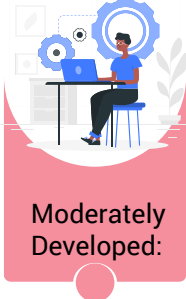
Undeveloped:

Basic HR functions with manual processes; minimal technology for record-keeping and payroll.



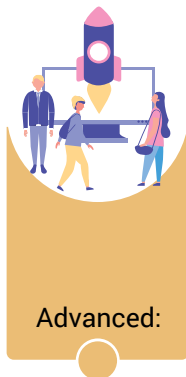
Beginning:

Specialized HR apps for recruitment and onboarding; some data sharing, but no full integration.



Moderately Developed:

More HR tools, but rarely integrated; focused on administration, not strategy.



Advanced:

Comprehensive HR tools with some analytics; partially integrated with business strategy.



Expert:

AI-driven, fully integrated HR tech that drives strategy and innovation.

How Can Most Organizations Improve Their HR Technology Systems?

The first step is to determine goals and, where needed, make investments to achieve those goals

A majority of organizations acknowledge that HR technology improves:



HR efficiency/productivity
68%



the employee experience
57%



organizational efficiency/
productivity **54%**

Encouragingly, **60%** have increased investment in HR tech over the past two years.

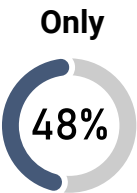
The second step is to ensure systems support business goals and align with key objectives:



say their HR systems support business goals to only a moderate extent or worse.



either disagree or are neutral on whether HR systems align with key objectives.



Only **48%** agree or strongly agree leadership has articulated a clear vision for the future of their organization's HR technology.



articulate a clear vision of HR technology.

Third, identify and then address challenges and feature gaps

The biggest pain-points regarding respondents' current HR technologies are:



lack of integrations within/between systems



inadequate budget



difficulty getting accurate and useful data/information out



lack of customization



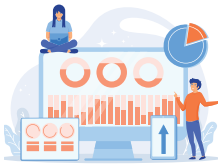
not enough solutions or features we need



Of those that lack enough solutions or features, the most desired features are:



succession management
68%



people analytics
65%



engagement
56%

Addressing these gaps will help support succession management and people analytics, ensuring tools are available for talent planning and data-driven decisions.

Fourth, decide on where it's wisest to invest in the near future

Investment in HR technology is set to rise, with **63%** of organizations planning to increase spending in the next two years.



After all, HR technology is expected to evolve in the near future by:



- increasing employee self-service
- improving employee user experience
- incorporating more AI
- providing higher quality data

And, AI is poised to have influence over HR technology by:

- raising HR productivity
- automating more HR tasks
- improving people analytics
- providing better employee self-service

Will You Lead or Lag Behind?

How your organization integrates, aligns, and innovates in the area of HR technology will determine a large portion of your future talent management and organizational success. Choose systems wisely and implement them well.

About the Survey:

HR.com's "State of Today's HR Technology and Integrations" survey ran between November 2024 and February 2025. We gathered 153 usable responses from HR professionals in virtually every industry vertical. Respondents are from all over the world, with the majority from North America, especially the United States.

Retention leaders*: organizations that answered "advanced" or "top-notch" to the question, "How would you describe your organization's retention approach?"

Retention laggards**: organizations that answered "undeveloped," "beginning," or "intermediate" to the same question.



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